NISM V-D Mutual Fund Module Summary

All 12 mutual fund chapters, 99 subtopics, in tables and keywords. Every subtopic has a star rating for exam importance. Read 5★ first, then 4★.

★★★★★ must know, asked often ★★★★☆ high ★★★☆☆ medium ★★☆☆☆ low ★☆☆☆☆ skim

‡ rule or number that changes often; check workbook edition

Ch	Chapter	Marks	Priority	Subtopics	5★
1	Investment Landscape	5	★★★☆☆	13	2
2	Concept & Role of a Mutual Fund	4	★★★☆☆	9	3
3	Legal Structure of Mutual Funds in India	3	★★★☆☆	7	3
4	Legal & Regulatory Framework	≈5–6	★★★★☆	12	3
5	Scheme Related Information	≈5–6	★★★★☆	7	4
6	Fund Distribution & Channel Management	≈5	★★★☆☆	7	2
7	NAV, TER & Pricing of Units	≈6	★★★★★	9	4
8	Taxation	3	★★★★☆	6	3
9	Investor Services	10	★★★★★	10	7
10	Risk, Return & Performance of Funds	≈5–6	★★★★☆	6	5
11	Mutual Fund Scheme Performance	≈5	★★★★☆	5	2
12	Mutual Fund Scheme Selection	10	★★★★★	8	4

5★ list (42) — read these first

Ch 1 · Investment risks · Asset allocation

Ch 2 · Classification by structure · Classification by management style · SEBI scheme categories (Oct 2017)

Ch 3 · Three-tier structure · Trustees · Asset Management Company (AMC)

Ch 4 · Investors' rights · Grievance redressal · Specialized Investment Fund (SIF) — V-D topic

Ch 5 · Offer documents: SID, SAI, KIM · Fundamental attributes · New Fund Offer (NFO) · Continuous disclosures

Ch 6 · Becoming a distributor · Distributor remuneration

Ch 7 · NAV computation · Loads · Total Expense Ratio (TER) · Applicable NAV & cut-off

Ch 8 · Fund categories for tax · Capital gains tax (from 23 Jul 2024) · IDCW taxation

Ch 9 · KYC · Application & payment rules · Minor's investments · Nomination · Purchase, redemption, switch timelines · Account statements · Systematic plans

Ch 10 · Risks in fund categories · Measuring returns · Measuring risk · Riskometer · Potential Risk Class (PRC) matrix — debt

Ch 11 · Benchmarks · Quantitative performance measures

Ch 12 · Selection process · Choosing equity schemes · Choosing debt schemes · Scheme-level checklist

4★ list (29)

Ch 1 · Asset classes · Money market & debt instruments · Risk measures · Behavioural biases · Risk profiling

Ch 2 · What a mutual fund is · Key terms: scheme, plan, option · Advantages of mutual funds · Classification by asset class & objective

Ch 3 · Sponsor · Service providers · Role of regulators · AMFI

Ch 4 · Key investment restrictions · AMFI Code of Conduct for intermediaries · Special regulatory tools

Ch 5 · Plans & options

Ch 6 · Distribution channels · Code of conduct & good practice · Distributor vs RIA

Ch 7 · Valuation of securities · Stamp duty & STT

Ch 8 · Set-off & carry forward of losses · Tax benefits & other points

Ch 9 · Transmission & transfer

Ch 10 · Drivers of returns

Ch 11 · Index fund & ETF specifics

Ch 12 · Choosing hybrid & other schemes · Plan & option selection

Built from the NISM V-A / V-D mutual fund syllabus (V-D Ch 1–12 = V-A chapters). Marks: official where known (Ch1 5, Ch2 4, Ch3 3, Ch8 3, Ch9 10, Ch12 10), others estimated. Not copied from the workbook.

01 Investment Landscape

≈5 marks · 13 subtopics · chapter priority ★★★☆☆

Saving vs investing; why invest ★★☆☆☆

Saving	Setting money aside from income (current consumption deferred)
Investing	Deploying savings into assets to earn return / beat inflation
Why invest	Inflation erodes purchasing power · meet goals · create wealth · retirement income
Real return	≈ Nominal return − Inflation (exact: (1+n)/(1+i) − 1)

Investment objectives ★★★☆☆

Objective	Meaning	Typical product
Safety	Protect capital	Bank FD, G-sec, liquid fund
Liquidity	Quick conversion to cash at low cost	Liquid / overnight fund, savings a/c
Income	Regular cash flow	Debt fund IDCW / SWP, bonds
Growth	Capital appreciation over time	Equity fund
Tax efficiency	Post-tax return	ELSS (80C), equity LTCG

Convenience · Tax · Time horizon decide the mix

Financial goals & life cycle ★★★☆☆

Stage	Goals	Risk capacity
Young earner	Emergency fund, wealth start	High
Young family	House, children education	Medium–high
Mid-career	Children, retirement corpus	Medium
Pre-retirement	Protect corpus	Low–medium
Retired	Regular income, safety	Low

SMART goals: specific, measurable, time-bound

Short (<1 yr) / medium (1–5) / long (>5)

Asset classes ★★★★☆

Class	Examples	Return driver	Key risk
Equity	Shares, equity MFs	Earnings growth, valuation	Market / volatility
Debt (fixed income)	Bonds, G-secs, CPs, CDs, FDs	Interest (coupon) + price change	Interest rate, credit, reinvestment
Cash / money market	Savings a/c, T-bills, liquid funds	Short-term rates	Inflation
Real estate	Property, REITs	Rent + appreciation	Illiquidity, high ticket
Gold / commodities	Physical gold, gold ETF, SGB	Global price, USD-INR	Price, no income (except SGB)
Alternatives	PMS, AIF, InvITs, private equity	Varies	Complexity, illiquidity

Physical vs financial assets · Real assets hedge inflation

Low correlation → diversification

Equity vs debt: features ★★★☆☆

	Equity	Debt
Holder is	Owner	Lender
Return	Dividends + capital gain (uncertain)	Fixed coupon + principal (contractual)
Claim on liquidation	Last (residual)	Before equity
Maturity	Perpetual	Fixed maturity
Risk / return	Higher / higher	Lower / lower

Primary market: issuer gets money (IPO, NFO)

Secondary market: investors trade among themselves

Money market & debt instruments ★★★★☆

Instrument	Issuer	Tenor / note
T-bills	Govt of India	91 / 182 / 364 days, discount instrument
Commercial paper (CP)	Companies	7 days – 1 yr, discount, unsecured
Certificate of deposit (CD)	Banks (FIs 1–3 yrs)	7 days – 1 yr
Call / notice / term money	Banks (interbank)	1 day / 2–14 days / 15 days–1 yr
Repo / TREPS	Collateralised borrowing	Overnight–short
G-secs / SDLs	Centre / States	Long-dated, no default risk
Corporate bonds / NCDs	Companies	Credit rated
PSU / bank bonds	PSUs, banks	Quasi-sovereign

Investment risks ★★★★★

Risk	Meaning	Most affects
Inflation risk	Return below inflation	Cash, FDs, debt
Interest rate risk	Rates ↑ → bond prices ↓	Long-duration debt
Reinvestment risk	Coupons reinvested at lower rate	Short-term / coupon bonds
Credit / default risk	Issuer fails to pay	Corporate bonds, credit-risk funds
Liquidity risk	Can't sell quickly at fair price	Small caps, unlisted, real estate
Market risk	Whole market falls (systematic)	Equity
Business / company risk	Company-specific (unsystematic)	Single stocks
Concentration risk	Too much in one stock/sector	Sector/focused funds
Exchange rate risk	INR moves vs foreign currency	International funds
Political / regulatory / tax	Policy change	All

Systematic risk = cannot diversify away

Unsystematic = removed by diversification

TRAP Interest rate risk and reinvestment risk move in opposite directions.

Risk measures ★★★★☆

Measure	Used for	Read as
Standard deviation	Equity / any	Total volatility; higher = riskier
Beta	Equity	Sensitivity to market; β > 1 = more volatile
Modified duration	Debt	% price change for 1% yield change
Weighted avg maturity	Debt	Longer = more rate risk
Credit rating	Debt	AAA highest; below BBB− = non-investment grade

Risk management strategies ★★★☆☆

Strategy	Example
Avoid	Don't buy what you don't understand
Reduce / mitigate	Diversification, asset allocation
Transfer	Insurance, hedging
Retain / accept	Keep risk within capacity

Behavioural biases ★★★★☆

Bias	Symptom
Herd mentality	Buy what everyone buys
Anchoring	Stuck to a past price/number
Confirmation bias	Seek only supporting information
Loss aversion	Pain of loss > joy of gain → hold losers
Overconfidence	Overtrading, concentration
Recency bias	Extrapolate the latest returns
Mental accounting	Treat money differently by source
Availability bias	Judge by easily recalled events
Regret aversion	Avoid decisions to avoid regret
Endowment effect	Overvalue what you own

Risk profiling ★★★★☆

Risk appetite / tolerance	Willingness to take risk (psychological)
Risk capacity	Ability to take risk: age, income, dependants, wealth, horizon
Risk required	Risk needed to reach the goal
Tool	Questionnaire → conservative / moderate / aggressive
Rule	Recommend within the lower of appetite and capacity

Asset allocation ★★★★★

Type	Meaning
Strategic	Long-term mix by goal & risk profile
Tactical	Short-term tilt on market view
Dynamic	Changes with valuation / rules (e.g. BAF)
Rebalancing	Bring mix back to target periodically

Asset allocation drives most of portfolio return variance

Age-based rule: equity % ≈ 100 − age (thumb rule)

Do-it-yourself vs adviser ★☆☆☆☆

DIY: low cost, needs knowledge & discipline

Distributor / RIA: guidance, behaviour coaching

02 Concept & Role of a Mutual Fund

≈4 marks · 9 subtopics · chapter priority ★★★☆☆

What a mutual fund is ★★★★☆

Definition	Pool of money from many investors, invested per a stated objective, managed professionally
Legal form	Trust (SEBI-registered)
Units	Investor gets units; ownership ∝ units held
Face value	Usually ₹10 per unit at NFO
NAV	Value per unit = net assets ÷ units
AUM	Total market value of scheme assets = NAV × units
Pass-through	Gains/losses belong to unitholders; AMC only charges fees

Key terms: scheme, plan, option ★★★★☆

Term	Meaning
Scheme	The fund (e.g. ABC Flexi Cap Fund)
Plan	Direct (no distributor, lower TER) / Regular (via distributor)
Option	Growth (no payout) / IDCW payout / IDCW reinvestment / IDCW transfer
IDCW	Income Distribution cum Capital Withdrawal (renamed from 'dividend', 2021) — paid from investor's own capital/gains

TRAP Direct plan NAV > regular plan NAV of the same scheme (lower expenses), never the opposite.

Advantages of mutual funds ★★★★☆

Advantage	Note
Professional management	Research, fund manager
Diversification	Many securities with small money
Economies of scale	Lower transaction cost per rupee
Liquidity	Open-ended: redeem any business day
Tax deferral / efficiency	Tax only on redemption; no tax inside fund
Convenience	SIP, STP, SWP, switch, online
Low ticket size	SIP from ₹100–500
Transparency	Daily NAV, monthly portfolio
Regulatory comfort	SEBI regulated

Limitations of mutual funds ★★★☆☆

- No customisation of portfolio
- Choice overload (many schemes)
- No control over costs / fund manager decisions
- No guaranteed returns
- Expenses reduce returns
- Applicable NAV known only after cut-off

Classification by structure ★★★★★

Type	Buy / sell	Notes
Open-ended	Any day from AMC at NAV	No fixed maturity; unit capital varies
Close-ended	NFO only; then on stock exchange	Fixed maturity; **must be listed**; may trade at discount/premium to NAV
Interval	Open for purchase/redemption only in specified intervals	Listed; min 2-day interval window

Classification by management style ★★★★★

Type	Meaning	Cost
Active	Fund manager picks securities to beat benchmark	Higher TER
Passive — Index fund	Replicates an index; bought from AMC at NAV	Low TER (max 1%)
Passive — ETF	Index tracking; traded on exchange in demat, intraday price	Lowest TER; needs demat
Fund of Funds (FoF)	Invests in other MF schemes (domestic/overseas)	Two layers of cost

Smart beta / factor indices · Tracking error = gap vs index

Classification by asset class & objective ★★★★☆

Equity · Debt · Hybrid · Solution-oriented · Other (index, ETF, FoF)

Growth / income / liquidity objectives · Domestic vs international

Sectoral / thematic

SEBI scheme categories (Oct 2017) ★★★★★

One scheme per category per AMC (exceptions: index funds, ETFs, FoFs, sectoral/thematic).

Equity (11)	Rule
Large cap	≥80% large cap (top 100)
Mid cap	≥65% mid (101–250)
Small cap	≥65% small (251+)
Large & mid	≥35% each
Multi cap	≥25% each in large, mid, small
Flexi cap	≥65% equity, any cap
Focused	Max 30 stocks
Dividend yield	≥65% in dividend-yielding stocks
Value / Contra	Value or contra strategy (one of the two) ‡
Sectoral / thematic	≥80% in sector/theme
ELSS	≥80% equity, 3-yr lock-in, 80C

Debt (16)	Rule (Macaulay duration unless stated)
Overnight	1-day securities
Liquid	Up to 91 days maturity
Ultra short duration	3–6 months
Low duration	6–12 months
Money market	Up to 1 yr maturity
Short duration	1–3 yrs
Medium duration	3–4 yrs
Medium to long	4–7 yrs
Long duration	>7 yrs
Dynamic bond	Any duration
Corporate bond	≥80% AA+ & above
Credit risk	≥65% AA & below
Banking & PSU	≥80% banks, PSUs, PFIs, municipal bonds
Gilt	≥80% G-secs
Gilt 10-yr constant duration	≥80% G-secs, Macaulay duration 10 yrs
Floater	≥65% floating rate

Hybrid (7)	Rule
Conservative hybrid	Equity 10–25%, debt 75–90%
Balanced hybrid	Equity 40–60%, no arbitrage
Aggressive hybrid	Equity 65–80%
(AMC offers balanced *or* aggressive)	
Dynamic asset allocation / BAF	0–100% equity, dynamically
Multi-asset allocation	≥3 asset classes, ≥10% each
Arbitrage	≥65% equity (hedged) arbitrage
Equity savings	≥65% equity incl. hedged, ≥10% debt

Solution-oriented (2) & other	Rule
Retirement fund	Lock-in 5 yrs or till retirement, whichever earlier
Children's fund	Lock-in 5 yrs or till child turns 18, whichever earlier
Index funds / ETFs	≥95% in index securities

Solution-oriented (2) & other	Rule
FoF (domestic/overseas)	≥95% in underlying funds

Large cap = top 100 by full market cap (AMFI list, updated half-yearly)

Growth of MF industry in India ★★★☆☆

Phase	Period	Event
I	1964–1987	UTI (UTI Act 1963) sole player; US-64 first scheme
II	1987–1993	Public sector MFs (SBI MF 1987 first non-UTI)
III	1993–2003	Private sector entry; first SEBI MF Regs 1993 (Kothari Pioneer first private MF); MF Regs 1996
IV	2003–2014	UTI split (Feb 2003): SUUTI + UTI MF; mergers; entry load abolished 2009
V	2014 onwards	Fast growth, B-30 push, 'Mutual Funds Sahi Hai' (2017), SIP boom

Industry AUM crossed ₹50 lakh crore (Dec 2023) ‡

Monthly SIP flows record highs ‡

03 Legal Structure of Mutual Funds in India

≈3 marks · 7 subtopics · chapter priority ★★★☆☆

Three-tier structure ★★★★★

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SPONSOR  (holds ≥40% of AMC net worth)
   │ sets up trust, signs trust deed
   ▼
TRUSTEES  (hold assets for unitholders)
   │ appoint AMC via Investment Management Agreement
   ▼
AMC  (manages the money)
   │ appoints
   ▼
Custodian · RTA · Fund accountant · Auditor · Bankers · Distributors

INVESTORS = beneficial owners of scheme assets
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Trust deed: sponsor + trustees

Investment Management Agreement (IMA): trustees + AMC

Registered under Indian Registration Act 1908 / Indian Trusts Act 1882

Sponsor ★★★★☆

Role	Promoter; sets up trust and AMC; like a company's promoter
Eligibility (traditional)	5 yrs in financial services · positive net worth all 5 yrs · net worth (last yr) > contribution to AMC · profit in 3 of last 5 yrs incl. latest
Stake	≥40% of AMC net worth (anyone holding ≥40% is deemed sponsor)
Alternative route	Private equity / other sponsors allowed with conditions (2023) ‡
Liability	Not liable for scheme losses beyond initial contribution

Trustees ★★★★★

Form	Board of trustees or trustee company
Number	≥4 trustees; ≥2/3 independent (not associated with sponsor)
Role	Guardians of unitholders' interest; supervise AMC
Duties	Approve schemes · ensure AMC compliance · check AMC transactions with associates · review investor complaints · report to SEBI half-yearly
Meetings	At least 6 a year (once every 2 months)
Powers	Can remove AMC (with unitholder approval / SEBI); approve key personnel
Not allowed	Trustee of one MF can't be trustee of another (unless independent in both, with approval)

Asset Management Company (AMC) ★★★★★

Role	Manages the money; launches schemes; investment decisions
Net worth	≥ ₹50 crore (all times)
Board	≥50% independent directors
Approval	SEBI-approved; appointed by trustees
Business	Only MF management + permitted management/advisory services to pooled funds (PMS/AIF via conditions), no conflicting business
Key people	CEO, CIO, fund managers, compliance officer, investor relations officer
Skin in the game	AMC invests a set % of AUM in its schemes; part of key employees' pay in scheme units (lock-in) ‡
Liability	Acts as agent; trust owns assets — not AMC

Service providers ★★★★☆

Entity	Role	Key rule
Custodian	Safekeeps securities, settles trades, corporate actions	SEBI-registered; independent of sponsor (sponsor/associates hold <50% of custodian's voting rights, or 50% independent directors)
RTA	Investor records: purchase, redemption, statements	SEBI-registered (e.g. CAMS, KFintech)
Fund accountant	Calculates NAV	Can be AMC in-house or outsourced
Auditor	Audits scheme accounts	Different auditors for AMC and schemes
Collecting / paying bankers	Receive and pay money	
Distributors	Sell units	ARN holders (AMFI)
KRA	KYC records	CVL, NDML, CAMS KRA, KFin KRA, DotEx

Role of regulators ★★★★☆

Regulator / body	Role
SEBI	Primary regulator; SEBI (Mutual Funds) Regulations 1996; registration, investment rules, disclosure
RBI	Bank-sponsored MFs (as bank regulator); money market & debt market rules; overseas investment limits
Ministry of Finance	Policy, taxation
Ministry of Corporate Affairs / ROC	AMC and trustee company are companies
Stock exchanges	Listing of close-ended / ETFs; MF platforms (NSE NMF II, BSE StAR MF)

AMFI ★★★★☆

Set up	1995 (non-profit industry association)
Is AMFI an SRO?	No — trade body; SEBI regulates
Does	ARN registration of distributors · AMFI Code of Ethics (ACE) for AMCs · Code of Conduct for intermediaries · investor awareness ('Mutual Funds Sahi Hai') · publishes NAVs · large/mid/small cap list
Objectives	Professional & ethical standards, represent industry to SEBI/Govt, investor education

04 Legal & Regulatory Framework

≈≈5–6 marks · 12 subtopics · chapter priority ★★★★☆

SEBI's objectives & MF Regulations ★★★☆☆

Protect investors · Develop and regulate the securities market

MF Regulations 1996: registration, constitution, schemes, investment, disclosure, accounting

New MF Regulations overhaul approved 2025 ‡

Key investment restrictions ★★★★☆

Limit	Rule ‡
Single company equity	≤10% of scheme NAV (not for index/sector funds as per index weights)
All schemes of AMC in one company	≤10% of that company's paid-up voting capital
Single issuer debt	≤10% of NAV (AAA); 8% (AA); 6% (A & below); +2% with trustee approval
Sector (debt)	≤20% of NAV in one sector (exceptions apply)
Group exposure	≤10% of NAV in one group (15% with trustees)
Sponsor group	≤10% in listed securities of sponsor group
Unlisted equity	≤5% (open-ended), 10% (close-ended)
Inter-scheme investment	≤5% of NAV of the investing scheme; no fees
Borrowing	Only for redemption/IDCW; ≤20% of net assets, ≤6 months
Derivatives	Gross exposure ≤100% of net assets (hedging excluded)
Loans	Schemes cannot give loans

Investors' rights ★★★★★

Right	Detail
Ownership	Beneficial ownership of scheme assets ∝ units
Timely payment	Redemption in 3 working days; IDCW in 7 working days; delay → 15% p.a. interest paid by AMC
Information	SID, KIM, SAI, NAV, portfolio, annual report on request
Vote	On wind-up / change of trustee etc.; 75% of unitholders can wind up a scheme or remove AMC
Exit option	30 days without load on change of fundamental attributes
Inspect	Documents like trust deed, IMA at AMC office
Nominate	Nominate (up to 10 ‡)

> **TRAP** Investor CANNOT sue the trust for poor returns — no guarantee of returns.

Investors' obligations ★★☆☆☆

- Read offer documents (SID/KIM)
- Complete KYC; give correct information
- Keep contact & bank details updated
- Monitor investments; claim dues

Grievance redressal ★★★★★

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Investor → AMC / RTA (Investor Relations Officer)
        → not satisfied → SEBI SCORES (online)
        → still not resolved → SMART ODR (online dispute resolution: conciliation, then arbitration)
        → courts / consumer forum
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AMC must resolve within set timelines (SCORES: 21 days ‡)

Trustees review complaints

AMFI not a grievance forum for investors (but acts on distributor misconduct)

AMFI Code of Ethics (ACE) — for AMCs ★★☆☆☆

Integrity · Due diligence · Disclosure · Professional selling · Investor protection

AMFI Code of Conduct for intermediaries ★★★★☆

- Risk-profile the client; recommend suitable products
- Disclose all commissions (trail etc.) from competing schemes
- Don't rebate commission or give gifts to induce
- No churning (switching for commission)
- Don't misrepresent / promise returns
- Keep client information confidential
- Ensure KYC; don't handle investor cash beyond rules
- Keep ARN valid; follow SEBI & AMFI circulars

Due diligence of distributors by AMCs ★★★☆☆

AMCs must do due diligence on distributors meeting ANY of:

- Multiple points of presence (>20 locations)
- AUM > ₹100 crore (non-institutional) across industry
- Commission > ₹1 crore p.a. across industry
- Commission > ₹50 lakh from a single MF

‡

Advertisement code ★★★☆☆

Standard warning	'Mutual Fund investments are subject to market risks, read all scheme related documents carefully.'
Audio/visual	Warning must be clear and at readable/audible speed
Performance ads	Show with benchmark; standard periods (1/3/5 yrs, since inception); CAGR; same scheme's direct/regular as relevant
Not allowed	Promise of returns, comparisons that mislead, ranking without source

Special regulatory tools ★★★★☆

Tool	What
Segregated portfolio (side pocket)	After a credit event (downgrade below investment grade / default), bad paper is split into a separate portfolio; investors get units in both; no fresh subscriptions in segregated part
Swing pricing	Open-ended debt (except overnight, gilt, gilt 10-yr): NAV adjusted in market dislocation so exiting investors bear cost
Stress testing	Debt schemes tested monthly for liquidity and interest rate shocks
Riskometer	6 levels, monthly review (see Ch10)
Potential Risk Class (PRC)	Debt matrix (see Ch10)

Who can be a distributor ★★★☆☆

- Individual: NISM certification + AMFI ARN
- Corporate: ARN + employees with EUIN
- Distributor can't charge advisory fee; can give incidental advice
- Individual can't be both MFD and RIA (SEBI IA Regs 2020)
- Can't call self 'independent' / 'adviser'

Specialized Investment Fund (SIF) — V-D topic ★★★★★

Item	Rule ‡
What	New product class under MF regulations, between MF and PMS; separate brand from the MF
Min investment	₹10 lakh per investor (PAN) across all SIF strategies of an AMC; accredited investors exempt
Short exposure	Unhedged short via derivatives up to 25% of net assets
Called	'Investment strategy' (not 'scheme')
Risk label	Risk band 1–5
Redemption	Daily / weekly / per strategy; notice period up to 15 working days
AMC eligibility	≥3 yrs ops + avg AUM ≥ ₹10,000 cr (last 3 yrs) + clean record; OR CIO with 10 yrs & ₹5,000 cr AUM + additional FM 3 yrs & ₹500 cr
Distributor	ARN + NISM V-D (or V-A + XIII)

Strategy	Rule ‡
Equity Long-Short	≥80% equity; short ≤25%
Equity Ex-Top 100 Long-Short	≥65% outside top 100; short ≤25%
Sector Rotation Long-Short	≥80% in ≤4 sectors; short at sector level
Debt Long-Short	Short via exchange-traded debt derivatives
Sectoral Debt Long-Short	≥2 sectors; ≤75% in one
Active Asset Allocator Long-Short	Equity, debt, REIT/InvIT, commodity derivatives
Hybrid Long-Short	≥25% equity, ≥25% debt; short ≤25%

05 Scheme Related Information

≈≈5–6 marks · 7 subtopics · chapter priority ★★★★☆

Offer documents: SID, SAI, KIM ★★★★★

Document	Contains	Updated ‡
SID (Scheme Information Document)	Scheme-specific: objective, asset allocation, strategy, risks, benchmark, fund manager, loads, expenses, past performance	Annually / on material change (addendum)
SAI (Statement of Additional Information)	Fund-house level: sponsor, AMC, trustees, legal info, tax, valuation norms, investor rights	Within 3 months of FY end; changes via addendum
KIM (Key Information Memorandum)	Abridged SID; comes with every application form	With SID updates

TRAP SID + SAI together = the full offer document. KIM must accompany application forms.

- Addendum = changes before the next update
- SEBI doesn't 'approve' SID; it gives observations

Contents of SID (checklist) ★★★☆☆

- Name & category
- Riskometer + PRC (debt)
- Investment objective
- Asset allocation
- Strategy
- Benchmark (TRI)
- Fund manager
- Plans & options
- Min amount
- Loads
- TER
- NAV disclosure
- Past performance
- Risk factors
- Tax
- Cut-off times
- Product label (for whom)

Fundamental attributes ★★★★★

Includes	Type of scheme (open/closed) · investment objective · asset allocation/investment pattern · terms of issue (liquidity, loads, fees/expenses, guarantees)
To change	Trustees' approval + SEBI comments + written notice to unitholders + newspaper ad
Investor protection	30-day exit window at NAV, **without exit load**

New Fund Offer (NFO) ★★★★★

NFO period	Max 15 days (ELSS can be longer)
NFO price	Usually ₹10 face value
Allotment / refund	Within 5 business days of NFO closing
Min investors (open-ended)	≥20 investors; no single investor >25% of corpus (else rebalance/refund)
NFO expenses	Borne by AMC (not the scheme)
ASBA	Available for NFO applications
Reopen for continuous sale	Open-ended: within 5 business days of allotment

TRAP 'NFO at ₹10 is cheap' is a myth — NAV level doesn't mean cheap or dear.

Plans & options ★★★★☆

Choice	Option	Effect
Plan	Direct vs Regular	Same portfolio, different TER → different NAV
Option	Growth	Gains stay in NAV
	IDCW payout	Cash paid; NAV falls by IDCW
	IDCW reinvestment	IDCW reinvested as units (no load)
	IDCW transfer	IDCW invested into another scheme

IDCW is paid out of distributable surplus incl. investor's own capital (equalisation reserve) — hence 'capital withdrawal'

Continuous disclosures ★★★★★

Item	Frequency / timeline ‡
NAV	Every business day, AMC + AMFI site by 11 pm (FoF overseas: by 10 am next day)
Portfolio	Monthly (all schemes) within 10 days; fortnightly (debt) within 5 days
Half-yearly financials	Unaudited, within 1 month of half-year end
Annual report	Within 4 months of FY end (abridged sent / on website)
Riskometer	Monthly, with portfolio
TER	Daily on website; changes with 3 working days' notice
Factsheet / scheme dashboard	Monthly / on website
Commission paid	In CAS

Other disclosures ★★☆☆☆

- Scheme performance vs benchmark
- Fund manager's other schemes
- Portfolio turnover
- Unclaimed amounts
- Voting by AMC on company resolutions

06 Fund Distribution & Channel Management

≈≈5 marks · 7 subtopics · chapter priority ★★★☆☆

Distribution channels ★★★★☆

Channel	Notes
Individual MFD (IFA)	Largest by number; ARN holder
Banks	Large branch network; ARN + EUIN for staff
National distributors / NBFCs	Corporate ARN
Stock brokers / exchange platforms	NSE NMF II, BSE StAR MF
Online platforms / fintech	As distributor (regular) or execution-only platforms (direct) ‡
MF Utilities (MFU) / MF Central	Common transaction platforms for many AMCs
RIA	Charges fee to client, uses direct plans, no commission
AMC direct	Direct plans via AMC website/branches

Becoming a distributor ★★★★★

Certification	NISM Series V-A (MFD) / V-D for SIF; V-B for new cadre (simple products)
Registration	AMFI Registration Number (ARN) via KYD (Know Your Distributor) through CAMS
Validity	ARN valid 3 years; renew via CPE (Continuing Professional Education) before expiry
Employees	EUIN (Employee Unique Identification Number) for each salesperson of corporate distributors
Empanelment	With each AMC to get commission
Age	Adult (18+)

TRAP EUIN identifies the salesperson who advised; for 'execution-only' a declaration is signed.

Distributor remuneration ★★★★★

Item	Rule ‡
Trail commission	Only model allowed; paid from scheme TER (regular plan)
Upfront commission	Banned (Oct 2018); no upfronting of trail
Entry load	Abolished Aug 2009
Transaction charge	₹100 (existing) / ₹150 (first-time) on purchases ≥ ₹10,000, if distributor opts in; SIP only if commitment ≥ ₹10,000
Disclosure	Commission shown in investor's CAS; distributor must disclose commissions of schemes recommended
Rebating	Not allowed
Payment	Commission paid only to ARN holder, by AMC

Code of conduct & good practice ★★★★☆

- Know your client (KYC + needs + risk profile)
- Suitability before selling
- Full disclosure of commission & conflicts
- No mis-selling or churning
- Service: statements, nominations, updates
- Keep certification & ARN valid

Change of distributor ★★★☆☆

Investor can change distributor without NOC from old one

Or move to direct plan (switch = redemption for tax)

Trail of existing units goes to new distributor only from change date ‡

Distributor vs RIA ★★★★☆

	MFD	RIA
Earns from	Commission (AMC)	Fee (client)
Plans used	Regular	Direct
Advice	Incidental to sales	Full advisory
Registration	AMFI ARN	SEBI IA registration
Can be both?	No (individual)	

New cadre & due diligence ★★☆☆☆

New cadre (NISM V-B): simple schemes only (e.g. index, liquid, ELSS, BAF) ‡

AMC due diligence on large distributors (see Ch4)

07 NAV, TER & Pricing of Units

≈6 marks · 9 subtopics · chapter priority ★★★★★

NAV computation ★★★★★

```
NAV = (Market value of investments + Receivables +
Accrued income + Other assets
       - Accrued expenses - Payables - Other liabilities)
÷ Units outstanding

Example: Assets ₹110 cr, liabilities ₹10 cr, units 5 cr
→  NAV = 100/5 = ₹20
AUM = NAV × units
```

NAV computed every business day

Different NAV for direct and regular plan

NAV to 4 decimals (most schemes) ‡

Valuation of securities ★★★★☆

Security	Valuation
Listed equity	Closing price on principal exchange (NSE / BSE)
Non-traded / thinly traded equity	Fair value by AMC's valuation policy
Debt & money market	Average of prices from valuation agencies (CRISIL, ICRA); fully mark-to-market (no amortisation since 2020)
Govt securities	Agency prices
Units of other MFs	Their NAV
Principle	Fair valuation; valuation policy approved by AMC board & trustees

Income & expense accounting ★★★☆☆

Dividends: accounted on ex-date

Interest: accrued daily

Expenses: accrued daily

Gains: realised/unrealised in NAV

Equalisation reserve: part of sale price kept so IDCW doesn't dilute

Loads ★★★★★

Entry load	Abolished (Aug 2009)
Exit load	Charged on redemption within a set period; credited back to the scheme (not AMC)
Sale price	= Applicable NAV
Repurchase price	= NAV × (1 − exit load)
No load on	Bonus units, IDCW reinvestment units, switch between plans of same scheme (as per SID) ‡
CDSC	Contingent deferred sales charge: load falls with holding period

```
Example: NAV ₹50, exit load 1% → repurchase price = 50 ×
0.99 = ₹49.50
```

Total Expense Ratio (TER) ★★★★★

Daily net assets (₹ cr)	Equity-oriented	Other (debt etc.)
First 500	2.25%	2.00%
Next 250	2.00%	1.75%
Next 1,250	1.75%	1.50%
Next 3,000	1.60%	1.35%
Next 5,000	1.50%	1.25%
Next 40,000	−0.05% per ₹5,000 cr	−0.05% per ₹5,000 cr
Above 50,000	1.05%	0.80%

Scheme type	Max TER ‡
Index fund / ETF	1.00%
FoF investing in liquid/index/ETF	1.00%
FoF (equity-oriented underlying)	2.25%
Other FoF	2.00%
Close-ended / interval equity	1.25%
Close-ended / interval other	1.00%

- Additional up to 0.30% for B-30 inflows (suspended since Mar 2023) ‡
- GST on management fee over and above TER
- Brokerage cap: 0.12% cash, 0.05% derivatives ‡
- Direct plan TER lower (no distribution cost)
- SEBI revised expense framework (2025–26): check workbook ‡

TRAP NFO expenses are borne by the AMC, not the scheme.

Recurring expense heads ★★☆☆☆

Investment management fee · Trustee fee · Custodian · RTA · Audit · Marketing & selling · Distribution commission · Brokerage & transaction cost (capped) · Investor education (2 bps ‡)

Stamp duty & STT ★★★★☆

Charge	Rate	On
Stamp duty	0.005%	Purchases incl. switch-in, IDCW reinvestment (since 1 Jul 2020)
STT	0.001%	Redemption of equity-oriented units (seller)
No STT	—	Debt funds

Applicable NAV & cut-off ★★★★★

Transaction	Cut-off	Applicable NAV
Equity / debt purchase (any amount)	3:00 pm	Day funds are realised (if before cut-off)
Liquid / overnight purchase	1:30 pm	Day **before** the day funds are realised
Liquid / overnight redemption	3:00 pm	Day **before** the next business day
Equity / debt redemption	3:00 pm	Same day
Switch	As redemption (out) and purchase (in)	Switch-in needs realisation

- Time-stamping of applications
- Funds realisation rule for all purchases (Feb 2021)
- Liquid funds: graded exit load for 1–6 days

IDCW mechanics ★★★☆☆

```
NAV before 15.00 · IDCW ₹1 per unit  →  ex-IDCW NAV ≈ 14.00
Investor's wealth unchanged (₹1 cash + ₹14 NAV) — before tax
```

Declared from distributable surplus · Record date fixed · Payable within 7 working days

08 Taxation

≈3 marks · 6 subtopics · chapter priority ★★★★☆

Fund categories for tax ★★★★★

Category	Definition ‡
Equity-oriented fund	≥65% in domestic listed equity (FoF: ≥90% in units of such funds, which hold ≥90% equity)
Specified mutual fund (Sec 50AA)	>65% in debt & money market (from AY 2026-27; earlier: ≤35% equity)
Other funds	Hybrids 35–65% equity, gold/silver ETFs & FoFs, international FoFs

Capital gains tax (from 23 Jul 2024) ★★★★★

Type	STCG	LTCG
Equity-oriented	Held ≤12 m · 20% (111A)	Held >12 m · 12.5% on gains above ₹1.25 lakh/yr (112A)
Specified MF (debt), bought on/after 1 Apr 2023	Slab rate — always, any holding period	
Others (listed units)	≤12 m · slab	>12 m · 12.5%, no indexation
Others (unlisted units, e.g. intl FoF)	≤24 m · slab	>24 m · 12.5%, no indexation

- Grandfathering: equity bought before 1 Feb 2018 → cost = higher of actual cost and (lower of FMV on 31 Jan 2018 and sale price)
- No indexation benefit any more for MF units

TRAP Debt fund bought before 1 Apr 2023 and held >24 m: LTCG 12.5% (no indexation) ‡

IDCW taxation ★★★★★

Since 1 Apr 2020	Taxed in investor's hands at slab rate (DDT abolished)
TDS (resident)	10% u/s 194K if IDCW > ₹10,000 per FY per AMC (₹5,000 before Apr 2025) ‡
TDS (NRI)	20% + surcharge/cess (or DTAA rate)
Growth vs IDCW	Growth defers tax till redemption → usually more tax-efficient

Set-off & carry forward of losses ★★★★☆

Loss	Can set off against
Short-term capital loss	STCG and LTCG
Long-term capital loss	LTCG only
Carry forward	8 assessment years (return filed on time)

Dividend & bonus stripping ★★★☆☆

Dividend stripping (94(7))	Buy within 3 months before record date + sell within 9 months after → loss up to IDCW ignored
Bonus stripping (94(8))	Buy within 3 months before record date + sell original units within 9 months after → loss ignored, added to cost of bonus units

Tax benefits & other points ★★★★☆

Item	Rule
ELSS	Deduction u/s 80C up to ₹1.5 lakh (old regime only); 3-yr lock-in per instalment
New tax regime	Default regime; no 80C
Switch	Between schemes, or plans (regular→direct) = transfer → taxable
SIP	Each instalment has its own holding period (FIFO on redemption)
Segregated portfolio	Cost split between main and segregated units in NAV ratio
NRI	TDS on capital gains by AMC
Distributor GST	Registration if commission > ₹20 lakh/yr

09 Investor Services

≈10 marks · 10 subtopics · chapter priority ★★★★★

Who can invest ★★★☆☆

Resident individuals (single/joint) · Minors through guardian · HUF (Karta) · Companies, trusts, societies, firms (with board/trust resolution) · NRIs, PIOs, OCIs (repatriable / non-repatriable) · FPIs · Banks, FIs, insurers

> **TRAP** OCBs (overseas corporate bodies) can't invest. Some AMCs don't accept US/Canada persons (FATCA).

KYC ★★★★★

What	One-time; recorded with a KRA, valid across all MFs and intermediaries
Documents	PAN (mandatory), proof of address, photo, in-person verification (IPV/VIPV)
CKYC	Central KYC registry (CERSAI) — 14-digit KIN
e-KYC	Aadhaar-based; OTP route has investment limit ‡
KYC status	Validated (Aadhaar/official docs verified) · Registered · On hold (re-verify) ‡
FATCA / CRS	Self-declaration of tax residency
PAN exemption	Micro investments ≤ ₹50,000 per year per investor per AMC (PEKRN), Sikkim residents, some govt officials

Application & payment rules ★★★★★

Rule	Detail ‡
Payment modes	Cheque, DD, NEFT/RTGS/IMPS, UPI, net banking, NACH/OTM mandates, ASBA (NFO)
Cash	Up to ₹50,000 per investor per FY per MF (KYC done)
Third-party payment	Not allowed. Exceptions: parent/grandparent/relative for minor (≤ ₹50,000 per transaction), employer for SIP via payroll, custodian for FPI, AMC to distributor (commission as units), stock broker (exchange)
Bank accounts	Register up to 5 (individuals) / 10 (others)
Realisation	Units allotted only on realisation of funds (all schemes)
Joint holding	Up to 3 holders; mode: joint / anyone or survivor

Minor's investments ★★★★★

Holding	Minor as sole holder only — no joint holders
Guardian	Natural (parent) or court-appointed; proof of DOB & relationship
Payment	From minor's bank account, or joint account of minor with guardian ‡
On majority (18)	Status change to major: KYC, bank details of the major; till then no transactions ‡
SIPs	Registered only till minor turns 18

Nomination ★★★★★

Who can nominate	Individuals (single or joint); not for non-individuals, not by POA holder
How many	Up to 10 nominees with % share ‡
Nominee can be	Minor (via guardian), individual; not a trust/company
Opt-out	New single-holder folios: nominate or give opt-out declaration
Effect	Nominee is a trustee for legal heirs (gets assets; heirs may claim)

Transmission & transfer ★★★★☆

Case	Who gets units
Death of sole holder with nominee	Nominee
Death of one joint holder	Surviving holder(s)
No nominee, sole holder	Legal heir(s) — succession certificate/probate above threshold ‡

Documents: death certificate, claimant KYC, bank proof

Transmission is not a sale — no capital gains

Transfer of non-demat units now allowed in specified cases ‡

Demat units: transfer via DP

Purchase, redemption, switch timelines ★★★★★

Event	Timeline ‡
NFO allotment / refund	5 business days from close
Redemption payout	3 working days (equity often T+2)
IDCW payout	7 working days from record date
Delay	15% p.a. interest to investor, paid by AMC
Overseas/FoF exceptions	Extra days allowed in specified cases

Account statements ★★★★★

Transaction confirmation	Email/SMS within 5 business days of transaction
CAS (monthly)	By 15th of next month for any month with a transaction (across MFs + demat, by depositories/RTAs)
CAS (half-yearly)	For folios with no transaction in 6 months, by 21st Apr/Oct
CAS shows	Holdings, transactions, commission paid to distributor, scheme TER
Demat holders	Units in demat via DP; statement from depository

Systematic plans ★★★★★

Plan	What	Use
SIP	Fixed amount at regular intervals (daily/weekly/monthly/quarterly)	Rupee-cost averaging, discipline
STP	Transfer fixed amount from one scheme to another (e.g. liquid → equity)	Phased entry for lump sum
SWP	Withdraw fixed amount regularly	Regular income; tax only on gains part
Switch	Move between schemes/plans of same AMC	Taxable as redemption
Micro SIP	≤ ₹50,000/yr without PAN (PEKRN)	
SIP top-up / pause	Increase amount yearly / pause a few months	

```
Rupee-cost averaging: same ₹ buys more units when NAV is low → average cost ≤ average NAV
```

Other services ★★★☆☆

Pledge / lien on units (loans)

Change of address / bank mandate (with verification; cooling-off ‡)

Consolidation of folios

Unclaimed redemptions/IDCW: held in separate unclaimed plan; after 3 yrs investor gets value at that time, balance to investor education ‡

MF Central / MFU / SCORES

Demat option for all schemes

10 Risk, Return & Performance of Funds

≈≈5–6 marks · 6 subtopics · chapter priority ★★★★☆

Drivers of returns ★★★★☆

Asset	Return drivers
Equity	Earnings growth, valuation (P/E), economy, interest rates, liquidity, sentiment
Debt	Interest (YTM), change in rates (duration), credit spread changes, rating changes
Gold	Global price in USD, USD-INR, demand, geopolitical risk
Real estate / REIT	Rent, occupancy, interest rates

Growth vs value styles

Large vs mid vs small cap cycles

Falling rates → long-duration debt gains

Risks in fund categories ★★★★★

Fund	Main risks
Equity	Market, volatility, sector concentration, liquidity (small caps)
Debt	Interest rate, credit/default, liquidity, reinvestment, concentration
Hybrid	Mix of equity & debt risks
International	Currency, country/political, overseas limits
Gold	Price, currency
Index/ETF	Tracking error, market risk
All	Fund manager/AMC risk, regulatory & tax change

Measuring returns ★★★★★

```
Absolute (simple) return = (End NAV - Start NAV) ÷ Start NAV
Annualised simple        = Absolute × 365 ÷ days
CAGR                     = (End ÷ Start)^(1/years) - 1
Total return             = include IDCW (reinvested)
XIRR                     = for SIPs / irregular cash flows

Ex: NAV 10 → 15 in 3 yrs: absolute 50%; CAGR = 1.5^(1/3) - 1 = 14.47%
```

Type	Meaning
Point-to-point / trailing	Start and end dates fixed (e.g. 1/3/5 yrs to today)
Rolling returns	Average of returns over every possible period → consistency
Calendar-year	Each Jan–Dec

SEBI rule for showing returns	
< 1 year	Simple (absolute) return
≥ 1 year	CAGR
Also show	Benchmark + additional benchmark; value of ₹10,000 invested; 1/3/5 yrs + since inception

Measuring risk ★★★★★

Measure	Meaning
Variance / Standard deviation	Total volatility of returns
Beta	Market sensitivity (systematic risk)
Downside deviation / semi-variance	Only bad volatility
Modified duration	Debt price sensitivity to yield
Average maturity / YTM	Debt portfolio profile
Credit rating profile	Debt credit risk
Portfolio turnover	Trading activity (cost)
Tracking error	Index fund/ETF deviation from index

Riskometer ★★★★★

Level	Typical schemes
1 Low	Overnight
2 Low to Moderate	Liquid, money market
3 Moderate	Short duration, banking & PSU
4 Moderately High	Conservative hybrid, dynamic bond
5 High	Aggressive hybrid, BAF
6 Very High	Equity, sectoral, small cap

Evaluated monthly on portfolio

Based on market cap, volatility, liquidity (equity) and credit, interest rate, liquidity (debt)

Change communicated to investors | Disclosed in factsheet & with portfolio

TRAP Six levels (Low → Very High). SIF uses risk band 1–5.

Potential Risk Class (PRC) matrix — debt ★★★★★

Interest rate risk ↓ / Credit risk →	A: Relatively low (CRV ≥12)	B: Moderate (CRV ≥10)	C: Relatively high (CRV <10)
Class I: Relatively low (MD ≤ 1 yr)	A-I	B-I	C-I
Class II: Moderate (MD ≤ 3 yrs)	A-II	B-II	C-II
Class III: Relatively high (any MD)	A-III	B-III	C-III

Shows MAXIMUM risk scheme can take | A-I safest, C-III riskiest

Change in PRC = fundamental attribute change

11 Mutual Fund Scheme Performance

≈≈5 marks · 5 subtopics · chapter priority ★★★★☆

Benchmarks ★★★★★

Why	To judge fund manager vs relevant market
TRI	Total Return Index (price + dividends reinvested) mandatory since Feb 2018
Two-tier	Tier 1: category-level benchmark (AMFI list); Tier 2: scheme-specific, optional ‡
Choice	Must match scheme's investment universe

Scheme	Typical benchmark
Large cap	Nifty 100 TRI / BSE 100 TRI
Mid / small cap	Nifty Midcap 150 / Smallcap 250 TRI
Sectoral	Sector index TRI
Debt	CRISIL / NSE debt indices matching duration & credit
Hybrid	Composite (e.g. 65:35 equity:debt)
Index fund / ETF	The tracked index
Gold ETF	Domestic gold price
International FoF	Overseas index (e.g. MSCI)

Quantitative performance measures ★★★★★

Measure	Formula / reading
Alpha (excess return)	Fund return − benchmark return
Sharpe ratio	(Rp − Rf) ÷ σp · return per unit of total risk · use for diversified funds
Treynor ratio	(Rp − Rf) ÷ βp · per unit of market risk · use for well-diversified portfolios
Sortino ratio	(Rp − Rf) ÷ downside deviation
Jensen's alpha	Rp − [Rf + β(Rm − Rf)] (actual − CAPM expected)
Information ratio	Excess return ÷ tracking error
R-squared	% of fund movement explained by benchmark (high = index-like)
Up / down capture	% of benchmark's up / down moves captured
Tracking error	Std dev of (fund − index) returns; lower = better for index funds/ETFs
Tracking difference	Return gap (fund − index) over a period

```
Sharpe ex: Rp 15%, Rf 7%, σ 16% → (15 - 7)/16 = 0.5
Treynor ex: same, β 1.2 → 8/1.2 = 6.67
```

TRAP Higher Sharpe/Treynor/Sortino = better. Lower tracking error = better. Treynor uses beta, Sharpe uses SD.

Qualitative & peer comparison ★★★☆☆

Compare within same category only · Quartile ranking · Consistency (rolling returns) · Fund manager tenure & process · AMC track record · Portfolio quality · Expense ratio · AUM size

Sources of performance data ★★☆☆☆

Factsheets · AMFI website · SID / annual report · Scheme dashboard · Rating/research firms (CRISIL, Morningstar, Value Research)

Index fund & ETF specifics ★★★★☆

Tracking error limit	≤2% (annualised) for index funds/ETFs ‡
ETF trading	On exchange via demat; price can differ from NAV; iNAV shown during the day
Market makers / APs	Provide liquidity; large creation/redemption directly with AMC
Direct with AMC	Investors can redeem with AMC if ETF illiquid on exchange (conditions) ‡

12 Mutual Fund Scheme Selection

≈10 marks · 8 subtopics · chapter priority ★★★★★

Selection process ★★★★★

```
Goal + horizon + risk profile → asset allocation → category → scheme → plan & option
```

Horizon	Suitable category
Days–3 months	Overnight, liquid, money market, arbitrage
3–12 months	Ultra short, low duration, money market
1–3 yrs	Short duration, banking & PSU, conservative hybrid, equity savings
3–5 yrs	Hybrid (BAF, aggressive), large cap
>5 yrs	Equity (flexi/large/mid/small), ELSS, index

Choosing equity schemes ★★★★★

Choice	Points
Market cap	Large: stable · Mid/small: higher return potential, higher risk, liquidity risk
Style	Growth vs value vs blend
Diversified vs focused vs sectoral	Concentration ↑ → risk ↑; sectoral/thematic only for informed investors
Active vs passive	Active: chance of alpha, higher cost · Passive: low cost, market return
Index fund vs ETF	Index fund: SIP-friendly, NAV-based · ETF: demat, intraday, lower TER, liquidity risk
ELSS	Tax saving + equity; 3-yr lock-in (shortest among 80C options)

Choosing debt schemes ★★★★★

Investor view / need	Pick
Park money / emergency	Overnight, liquid
Rates expected to fall	Long duration, gilt, dynamic bond (gain on price)
Rates expected to rise	Short duration, floater, overnight
Low credit risk	Gilt, banking & PSU, corporate bond (AAA)
Higher yield, accept credit risk	Credit risk fund
Hold to a date, predictable	Target maturity funds (passive debt, defined maturity)

Check: YTM, modified duration, average maturity, credit profile, PRC, expense ratio

TRAP YTM is not guaranteed return; NAV changes with rates and credit.

Choosing hybrid & other schemes ★★★★☆

Scheme	Suits
Conservative hybrid	Mostly debt + some equity kicker
Balanced advantage (BAF)	Auto equity allocation by valuation; first-time equity investors
Aggressive hybrid	Equity-led with cushion; equity taxation
Multi-asset	Equity + debt + gold in one fund
Equity savings	Low-volatility equity taxed fund
Arbitrage	Short-term parking with equity tax
Retirement / children's	Goal-based, 5-yr lock-in
Gold / silver ETF & FoF	Diversifier, inflation/crisis hedge
International FoF	Geographic diversification; currency risk

Plan & option selection ★★★★☆

Choice	When
Direct plan	Investor needs no help; lower cost
Regular plan	Wants distributor service & guidance
Growth	Wealth creation, tax deferral (most cases)
IDCW payout	Needs cash flow (but IDCW not assured; taxed at slab)
SWP over IDCW	Fixed, predictable cash flow; tax only on gains

Scheme-level checklist ★★★★★

Factor	Look for
Performance	Consistent vs benchmark & peers across periods (rolling)
Risk-adjusted return	Sharpe, Sortino, downside capture
Expense ratio	Lower better, esp. debt & passive
AUM size	Too small: concentration; too large in small caps: liquidity
Portfolio	Quality, concentration, turnover
Fund manager	Tenure, process
Exit load & lock-in	Match your horizon
Tracking error	For index/ETF

Mistakes to avoid ★★★☆☆

- Chasing last year's top performer
- Buying NFOs because ₹10 'looks cheap'
- Too many similar schemes (overlap)
- Stopping SIPs in falls
- Choosing IDCW for 'income' without need
- Ignoring costs and tax

Model portfolios by life stage ★★★☆☆

Investor	Equity : Debt : Gold (illustrative)
Young, aggressive	70–80 : 15–25 : 5–10
Mid-life, moderate	50–60 : 30–40 : 10
Near retirement	30–40 : 50–60 : 10
Retired	20–30 : 60–70 : 10